

CONFIDENTIAL STRATEGY DOCUMENT · 2026

Perplexity India

From Free Trial to Paid Habit

Converting 360M Airtel trial users into long-term paying subscribers — before the cliff.

RETENTION STRATEGY

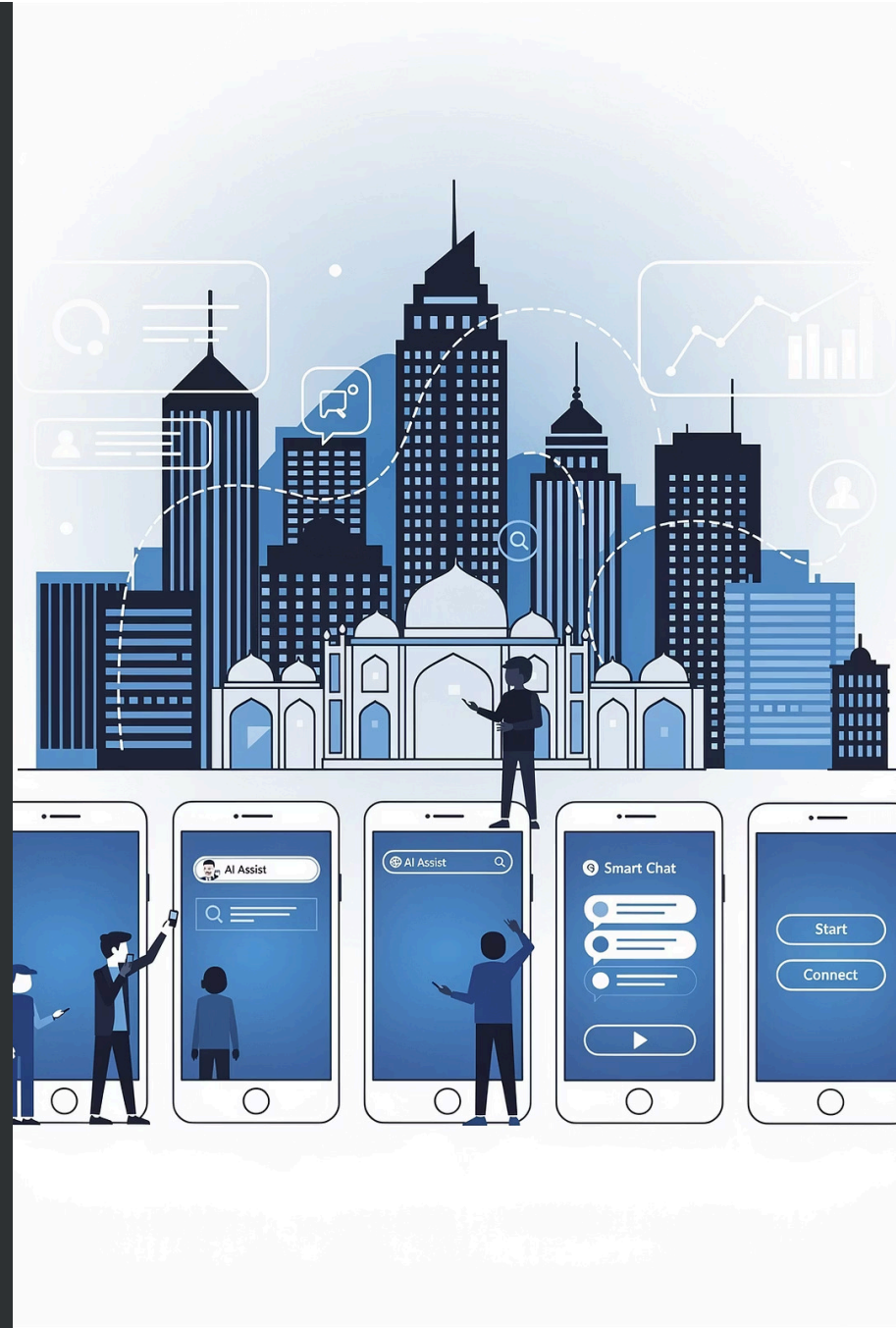
MONETISATION GTM

INDIA MARKET

2026

Prepared by: Anshul Eskey

Audience: Perplexity & Airtel
Leadership · Growth Teams ·
Investors

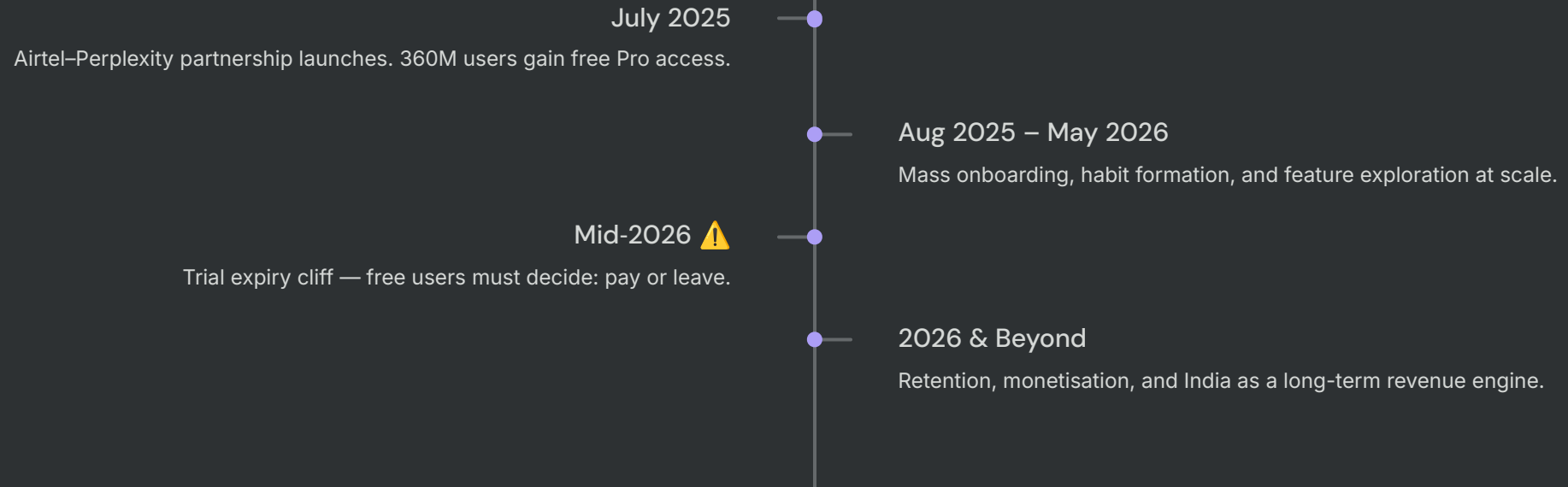


The world's largest AI onboarding event — and its most consequential retention challenge.

The Scenario

360M

Airtel subscribers eligible for free Perplexity Pro



Strong user demand and high awareness confirmed — the funnel exists. Now it must convert.

Scale without conversion strategy is not an asset — it's a liability.

The Core Problem

CRITICAL

No Payment Decision Made

Users received Pro automatically — bypassing the value-to-price evaluation that creates willingness to pay.

HIGH

Competitive Switching Risk

ChatGPT and Gemini offer strong free tiers. Without differentiation, users default to zero-cost alternatives.

CRITICAL

Steep Price Sensitivity

₹17,000/year far exceeds average telecom spend. Price is the #1 conversion barrier in Tier-2/3 markets.

HIGH

The Abrupt Cliff Risk

A sudden free-to-paid transition feels like extraction — permanently damaging brand trust in the market.

India is mobile-first, price-sensitive, and exam-driven — strategy must be built for this reality.

Market Context & India Data



Airtel Subscribers

Eligible for free Perplexity Pro



Higher-Ed Students

Core conversion segment



GenAI Adoption

Indian digital users using generative AI



Android Dominance

Smartphone platform among urban students

Key Market Characteristics



Mobile-First

AI interactions happen on smartphone, not desktop



Exam-Driven

JEE, CAT, UPSC prep dominate student use cases



Multilingual

Hindi, Tamil, Telugu, Bengali support is essential



WhatsApp-Native

WhatsApp, YouTube, Telegram are primary learning channels



Price-Sensitive

Value must be unmistakable before any payment occurs

Four personas. Four conversion strategies. One retention framework.

User Personas

The Free Rider

Passive user — Pro was bundled, never chosen.

CRITICAL

WTP: **Low**

Needs loss-aversion messaging and a visible reason to stay.

Tier-2/3 Student

Android-first, WhatsApp-heavy, exam-focused.

HIGH

WTP: **Very Low**

Needs student pricing and vernacular language support.

Urban MBA / Engineer

Multi-tool user — ChatGPT, Gemini, and Perplexity in parallel.

HIGH

WTP: **Medium**

Needs clear differentiation over free alternatives.

Young Knowledge Worker

Daily AI user for research, writing, and analysis.

LOW

WTP: **High**

Needs ROI framing — time saved, productivity gained.

The message is no longer "try Pro" — it's "don't lose what you've built."

Messaging Strategy

From 'Use Pro' → 'Keep Pro' — shifting from acquisition to habit reinforcement

Core Messaging Pillars



Instant Intelligence

Answers with sources — faster and more reliable than search



Trust Through Citations

Verified, sourced responses that build confidence in AI output



Productivity Multiplier

Measurable time saved on research, writing, and analysis



Fear of Loss

Loss-aversion framing: 'Don't lose the workflows you've built'

Channel Execution

In-App Notifications

Contextual prompts tied to feature usage and expiry countdown

Email Sequences

Personalised 60/30/7-day renewal journeys with usage data

WhatsApp Nudges

Airtel-integrated broadcasts with limited-time offers

Social Proof

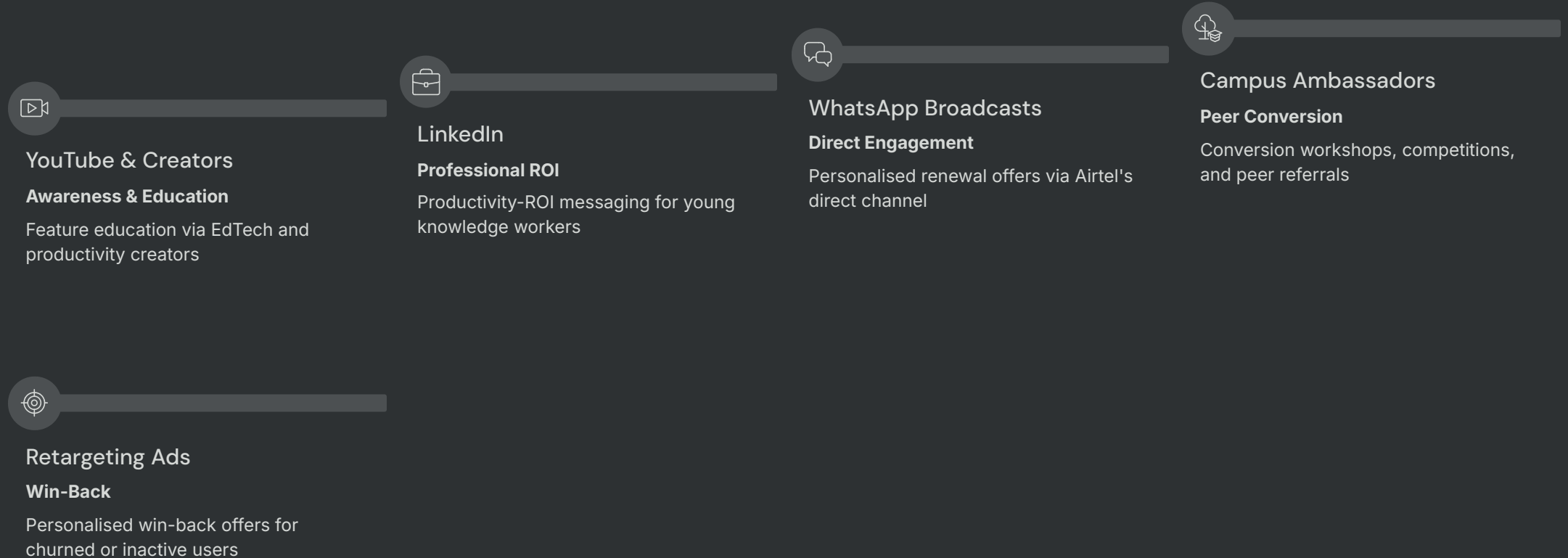
Real Indian user testimonials demonstrating productivity outcomes

📌 Users are more motivated to avoid losing a capability than to gain a new one. Lead with loss.

Meet users where they already live — YouTube, WhatsApp, LinkedIn, and campus.

Retention & Reactivation Channels

Each channel plays a distinct role in the re-engagement funnel

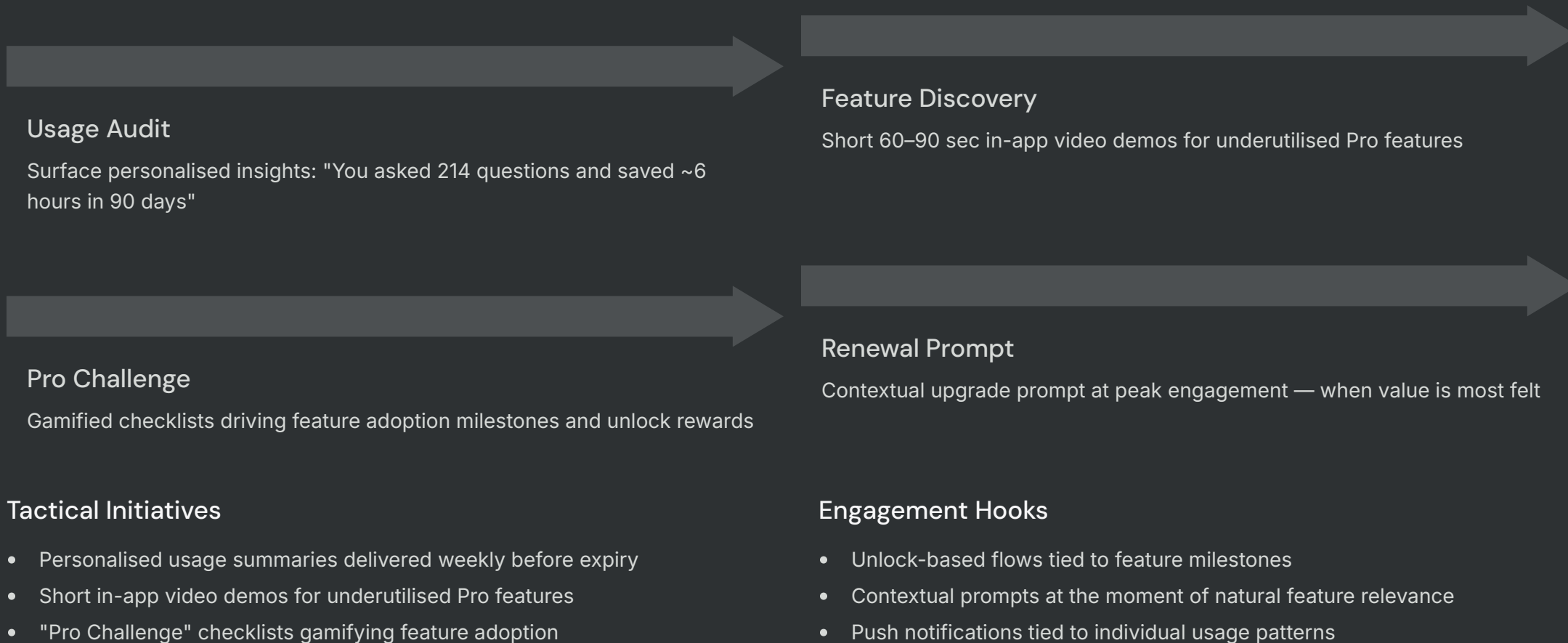


Omnichannel cadence runs simultaneously across all channels, personalised by cohort.

Passive users never chose Pro — re-onboarding must make them feel the value they've been missing.

Re-Onboarding & Feature Discovery

A dedicated re-onboarding experience — separate from first-time onboarding — closes the value gap before expiry



Right message, right moment — three phases from value deepening to win-back.

Conversion Campaign Phases

A structured campaign lifecycle ensures users receive the right message at the right moment

PHASE 1

90 Days Before Expiry

Value Deepening

- Drive feature adoption and depth of use
- Weekly personalised usage insights
- Educational content on Pro-only capabilities
- Early-bird renewal incentives introduced

PHASE 2

30 Days Before Expiry

Loss Awareness

- Countdown campaigns with urgency messaging
- Limited-time student and bundle discounts
- 60/30/7-day reminder cadence across channels
- Loss-framed in-app and email communications

PHASE 3

Post-Expiry

Win-Back

- 7–14 day grace period access to reduce hard stops
- Retention webinars for churned segments
- Win-back offers with flexible monthly billing
- Localised outreach in regional languages

❗ Communication cadence spans **email, WhatsApp, and in-app channels** simultaneously — personalised by usage cohort and proximity to expiry.

What gets measured gets managed — track leading signals before lagging revenue.

Key Metrics & Targets

●●●●● 2–8%

Freemium Benchmark

Industry trial-to-paid conversion — Perplexity India must exceed this

●●●●● 40%

DAU/MAU Target

Daily active usage ratio indicating strong habit formation

●●●●● 60%

Feature Adoption

Target share engaging with 2+ Pro-exclusive features

Full KPI Framework

Trial-to-Paid Conversion

Tracked by channel and user cohort

DAU/WAU Ratio

Leading indicator of engagement and conversion intent

Churn & Renewal Rate

Core retention health signals

ARPU

Average revenue per user post-conversion

Feature Adoption Depth

Proxy for perceived product value

NORTH STAR METRIC

Answers consumed per active user per week

The strongest predictor of long-term retention and paid conversion

The biggest risk is inaction — assuming scale will convert without deliberate strategy.

Risks & Mitigations

Five strategic threats — each with a concrete mitigation pathway

CRITICAL Price Sensitivity Post-Trial ₹17,000/year exceeds willingness-to-pay for most segments → Student tiers, monthly billing, Airtel bundle discounts	CRITICAL Abrupt Free-to-Paid Transition Perceived as value extraction — permanently damages brand trust → Grace periods, phased transitions, value-led communication	HIGH Competitive Switching ChatGPT and Gemini offer strong free tiers with growing Indian bases → Differentiate on citations, accuracy, and research workflow depth	HIGH Lack of Localisation Tier-2/3 users disengage without regional language support → Hindi, Tamil, Telugu, Bengali support; PPP-adjusted pricing
MEDIUM Insufficient Personalisation Generic messaging fails to demonstrate individual value → Usage-data-driven summaries and cohort-based campaign targeting			
  The biggest single risk is inaction — assuming the trial's scale will naturally convert without a deliberate, well-funded retention programme.			

The trial created the funnel.

Now comes the harder part.

India is Perplexity's largest opportunity — and its most time-sensitive retention challenge.

The Airtel–Perplexity partnership created one of the world's largest AI onboarding funnels in a single market. Phase One is complete.

Phase Two — retention, habit formation, and monetisation — will determine whether India becomes Perplexity's highest-volume revenue engine or its most expensive churn event.

The Next 12 Months Will Decide

- Revenue engine or high-churn cost centre?
- Habit-forming product or forgotten free trial?
- India as flagship growth market or cautionary case study?

The strategy exists. The window is open. Act now.

Execute Retention Campaigns

Launch phased conversion campaigns starting 90 days before expiry

Deploy Re-Onboarding

Personalised feature discovery for expiring users

Localise & Price Right

Student tiers, regional languages, flexible billing

Measure the North Star

Answers per user per week — the leading conversion signal